GLOBAL INTELLIGENCE

Daily Intelligence Report

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At a Glance

- **Democrats win Congress; oil falls on the Iran war outlook:** Media projections give Democrats at least 259 House seats and control of the Senate. Trump says he accepts the result but will keep pursuing the Iran war. Brent fell about 9% on 4 November and now trades near $97, a bet on a faster end to the war. Hormuz is still closed.
- **Iran rejects any softening:** Supreme Leader Mojtaba Khamenei says anyone expecting US policy to change is "deeply mistaken". He warns of "much broader" retaliation if attacked. Qatar-mediated talks remain stalled.
- **Bank of England hikes to 4%:** It is the first rise since 2023, the vote was unanimous, and the Bank sees inflation near 4.9% next year. The ECB's Ante

Zigman sees a "rather big chance" of a December hike.

- **Euro-area inflation hits 4.0% in October:** That is up from 3.8%, driven by energy. ANSA gives Italy 5.6% on the EU-harmonised measure, and Istat's national index was 5.4%.
- **Abu Dhabi peace talks set for 10-11 November:** The Kremlin has reportedly confirmed it will attend, with Vladimir Medinsky leading. They would be the first three-way US-Russia-Ukraine talks since February. Positions on territory and guarantees remain far apart.
- **China blocks SoftBank's $5.4bn purchase of ABB's robotics unit:** ABB says China's security review office prohibited the China part of the deal. It shows Beijing using deal approvals as leverage in "physical AI".
- **Italy's budget leans on an EU exemption:** The 2027 budget adds €4.8bn for Defence. About 85% of the extra €10.9bn for defence and security falls in 2027-28 and depends on the escape clause. Finance ministers decide around 9 November.

- **League splits over its Senate leader:** Almost all 29 League senators signed a petition to remove Massimiliano Romeo. A federal council meets in Milan on Friday. The row adds pressure on Economy Minister Giorgetti.
- **Rheinmetall falls 17%:** A delayed Boxer vehicle order and a lower sales forecast hit Europe's biggest arms maker. It shows how slow government contracting can hold back the rearmament boom.
- **Fridge hacks stay unattributed:** Russia denies involvement and no government has named a culprit. Separately, Crédit Mutuel Arkéa lost an estimated $133m in a supplier-based cyber heist.

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What It Means for You in Italy

- **Fuel and energy bills:** Brent has fallen about 15% this week to near $97, and Dutch gas is about €85-89/MWh. That is still far above pre-war levels. Pump and bill relief is not yet visible and depends on Hormuz reopening.
- **Mortgages and loans:** The ECB held at 2.50% on 29 October. A December rise is

now openly discussed. If it comes, variable-rate mortgages (linked to Euribor, the euro interbank rate) would reprice upward. The meeting date is in December and I have not verified it.

- **Prices and inflation:** Istat's October inflation of 5.4% is the highest since 2023, with energy the main driver. Food sales fell 0.3% in September, a sign households are cutting back.
- **Savings and BTPs:** The 10-year BTP yields about 4.30%, and the spread over the Bund has narrowed to about 103-105 points. After 4.0% euro-area inflation, the real return is thin.
- **Taxes and budget:** The budget now in parliament counts on the EU escape clause. If finance ministers narrow it, defence and energy measures could need rethinking.
- **Jobs and business:** Court-supervised insolvencies rose 13.6% in Q3. The Electrolux agreement is being monitored by the government.
- **Pensions:** The League's internal fight could complicate budget talks on pensions. No change is decided.
- **Travel:** Cheaper crude may eventually ease airfares. Nothing has been announced.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,298.60	+0.52%	+1.47%
FTSE MIB (Italy)	51,164.52	+0.26%	+2.32%
DAX (Germany)	26,595.26	+0.60%	+2.13%
CAC 40 (France)	8,247.14	+0.85%	+3.48%
IBEX 35 (Spain)	19,645.10	+1.42%	+4.18%
FTSE 100 (UK)	10,895.14	+0.61%	+1.61%

Americas	Last	Day	Week
S&P 500	7,688.62	+1.58%	-0.71%
Nasdaq 100	28,437.17	+0.91%	-4.62%
VIX (US volatility)	16.91	+1.81%	-1.69%
Bovespa (Brazil)	167,564.00	+1.23%	-4.64%

Asia	Last	Day	Week
Nikkei 225 (Japan)	61,077.90	-1.79%	-4.50%
CSI 300 (China)	4,113.41	–	–
Hang Seng (Hong Kong)	24,796.98	+3.67%	+8.01%
KOSPI (South Korea)	5,383.80	-5.28%	-9.33%
Taiex (Taiwan)	41,574.72	-3.20%	-10.34%
Nifty 50 (India)	24,536.60	+2.40%	+6.98%

Rates	Last	Day	Week
US 10Y yield (%)	4.8940	-1.17%	-2.99%
US 2Y yield (%)	4.7750	+0.00%	+0.53%

Currencies	Last	Day	Week
EUR/USD	1.1223	+0.14%	+0.61%
EUR/GBP	0.8332	-0.12%	-0.44%
EUR/CHF	0.9178	-0.05%	-0.63%
EUR/CNY	7.4851	+0.13%	+0.66%
US Dollar Index (DXY)	101.63	+0.11%	-0.41%
USD/JPY	158.46	-0.00%	+0.40%
USD/CNH	6.6668	–	–
USD/RUB	81.69	+0.03%	+1.48%
USD/INR	94.47	-0.29%	-0.78%
USD/BRL	5.4676	-0.35%	+2.28%
USD/TRY	50.04	+0.07%	+0.43%
Bitcoin ($)	79,612.69	-0.99%	+2.81%

Commodities	Last	Day	Week
Brent ($/bbl)	96.85	+2.36%	-15.69%
WTI ($/bbl)	89.47	+1.53%	-12.28%
Dutch TTF gas (EUR/MWh)	88.74	+0.75%	-9.99%
Gold ($/oz)	4,127.80	+1.35%	+2.39%

Commodities	Last	Day	Week
Silver ($/oz)	52.52	+0.77%	+0.63%
Copper ($/lb)	6.3925	-0.16%	-2.86%
Wheat (c/bu)	602.00	+0.58%	-0.29%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

I Europe & Italy

Italy

Rome's news is dominated by a split inside the League and by the 2027 budget law (*manovra*). Inflation is rising, but markets are calm.

League moves to oust its Senate leader as the budget reaches parliament

Almost all of the League's 29 senators have signed a petition to remove Massimiliano Romeo as head of the party's Senate group, ANSA reported on 4 November. The exceptions are Romeo himself, Matteo Salvini and a few absentees. Romeo says he will resist. Marco Dreosto and Andrea Paganella are named as possible successors. The Senate has no quorum rule for such a motion, so the party decides. A federal council meets in Milan on Friday.

Romeo backed Massimo Garavaglia against Salvini at the party congress ten days ago, where Garavaglia won 24%. In a linked change, Alberto Gusmeroli replaces Silvana Comaroli, who is seen as close to Economy Minister

Giancarlo Giorgetti, as the League's budget rapporteur. The opposition says Salvini is putting Giorgetti under tutelage.

Why it matters: Giorgetti is the League's main guarantor of fiscal discipline. Internal pressure on him, especially over pensions, could complicate the budget's passage.

Sources: ANSA

Budget: €4.8bn more for defence

Il Sole 24 Ore reports that Defence gets €4.8bn more. Rearmament and security get €10.9bn extra over three years, with 85% concentrated in 2027-28 because of the EU clause that exempts defence spending from the deficit rules. The money covers NATO commitments, the Carabinieri, joint-forces programmes and the Global Combat Air Programme (the Italy-UK-Japan fighter jet).

Sources: Il Sole 24 Ore

Inflation climbs, markets shrug

Eurostat's flash estimate puts euro-area inflation at 4.0% in October, up from 3.8%. ANSA gives Italy at +5.6%, on the EU-harmonised measure. Istat's national index was 5.4% on 30 October,

with energy the main driver. Istat also reported that September food sales fell 0.3% month on month.

The BTP-Bund spread, the gap between Italian and German 10-year yields, is about 103-105 basis points, narrower than yesterday's 112. The 10-year BTP yields about 4.30%. Milan's FTSE MIB rose 2.18% on 4 November, led by banks, and was about +0.3% at midday today.

Business: BPER's nine-month profit rose 16.4% to €2bn. Brembo's revenue was €2.9bn and its guidance is confirmed. Insolvency liquidations rose 13.6% in the third quarter, according to Il Sole 24 Ore. Meloni welcomed the Electrolux agreement and said the government will monitor compliance.

Watch: The League's vote on Romeo, and the 9 November finance ministers' meeting on Italy's request to use the escape clause.

Sources: ANSA, ANSA, ANSA, Il Sole 24 Ore

European Union

ECB signals another rate rise in December

Governing Council member Ante Zigman said there is a "rather big chance" the ECB will raise rates in December, Bloomberg reports. It would be the third rise since the Iran war began. Euro-area inflation is 4.0%, with energy the driver.

Why it matters: The ECB is raising rates into a weak economy because of an energy shock. That pushes up borrowing costs for indebted states such as Italy.

For Europe & Italy: Higher rates feed through to mortgages and to the cost of Italian debt. The spread has tightened for now.

Watch: The ECB's December meeting.

Sources: Bloomberg

EU pays Ukraine €4.36bn

The EU has disbursed €4.36bn to Kyiv for financial support and defence, ANSA reports. Ursula von der Leyen spoke of "unconditional support". This comes as US, UK, EU and NATO officials prepare for Abu Dhabi talks on Ukraine, expected around 10-11 November. Moscow has not confirmed it will attend.

Sources: ANSA

Parliament moves on softer 2035 car targets

Il Sole 24 Ore reports a first vote in the European Parliament in favour of more flexibility on the 2035 car CO2 target. MEPs propose cutting the fleet-wide reduction from 100% to 87.5%. Other coverage ties the 87.5% figure to the use of EU-made green steel. A plenary vote is expected in December, and the Council must also agree.

For Europe & Italy: Italy and its parts industry have pushed for a softer rule.

Sources: Il Sole 24 Ore

Smaller items

- **Fridge hacks:** Russia denies involvement in the cyberattacks on refrigeration systems across Europe. Experts see Moscow as a main suspect, but no government has named a culprit. Il Sole 24 Ore says a claim of responsibility by the groups NoName and Z-Peintest arrived three weeks late and may not be genuine.
- **Fast fashion:** France is urging a higher EU levy on fast fashion.
- **Dependence on US tech:** An MEP told Politico that the loss of Starlink service led to

deaths, and called on Europe to "stop using US tech".

- **Critical minerals:** Solvay struck a rare-earths supply deal from a Brazilian mine, to cut Europe's dependence on China (FT).

Sources: Politico Europe, FT, Politico Europe

Italy in the EU & PNRR

Rome's request to use the EU escape clause for defence and energy goes to finance ministers on about 9 November. The 2027 budget already counts on that exemption. Il Sole 24 Ore says 85% of the extra €10.9bn for defence and security over three years falls in 2027-28 "because of the EU clause". If the Council refuses or narrows the request, those figures would need revisiting.

Watch: The 9 November Council vote, and how Italy's allies on defence spending line up.

PNRR tracker

The PNRR is Italy's share of the EU recovery fund. Italy requested the tenth and final instalment, worth €28.4bn and covering 156 objectives, on 29 September. Minister Tommaso Foti says all 576 objectives of the plan have been met. The Commission's assessment is

under way, and I found no official payment date. The ninth instalment, €12.8bn, was paid on 4 June 2026.

Item	Status	Next step
Tenth (final) instalment, €28.4bn	Requested 29 Sept; Commission checking	Commission and Council assessment, then payment
Ninth instalment, €12.8bn	Paid 4 June 2026	Closed
Plan objectives (576)	Italy says all achieved	Commission verification

Sources: Teleborsa, Agenzia Nova, Milano Finanza, Il Sole 24 Ore

Across Europe

Poland

The feud between Prime Minister Donald Tusk and President Karol Nawrocki over the Constitutional Tribunal has escalated. Nawrocki refused to swear in a judge elected by Tusk's majority in March. A judge reportedly suspended the tribunal's president and his deputy for a month, and Nawrocki called crisis talks. The Commission has urged Nawrocki to accept the new judges. Bloomberg says von der Leyen pulled out of a news conference with Nawrocki

as a gesture of support for Tusk. Separately, Poland detained six people suspected of working for Russian intelligence to supply military-use components to Moscow.

Sources: Bloomberg, Al Jazeera, Bloomberg

France

The National Assembly unanimously rejected the budget bill, Politico reports. The government looks likely to force its €43bn squeeze through without a vote. Veolia says the political turmoil will not change demand. Crédit Mutuel Arkéa confirmed a cyber heist of an estimated $133m, carried out through a compromised supplier.

Sources: Politico Europe, The Record

United Kingdom

The Bank of England raised its rate to 4%, the first rise since 2023, the FT reports. The previous rate was 3.75%.

Sources: FT

Germany

Industrial orders rose 4.4% in September. Economists see a chance of an end to the stagnation but warn about high energy prices. Parties are debating who should succeed President Frank-Walter Steinmeier. Ilse Aigner

(CSU) is the most-mentioned name, and no candidate has been formally chosen. Handelsblatt also reports that Hubert Aiwanger, head of the Freie Wähler party and Bavaria's economy minister, died suddenly in Berlin. I could not confirm this with a second source.

Sources: Handelsblatt, Handelsblatt, Handelsblatt

Spain

The minimum wage will rise 5.3% in 2027, affecting 2.5 million people, according to the labour ministry, ahead of a key election (Bloomberg).

Sources: Bloomberg

Belgium

Belgium is pushing ahead with a vote on controversial migration powers (FT newsletter). No further detail is available.

Sources: FT

II Great Powers

United States

Democrats appear to have won control of both chambers of Congress on Tuesday. These are media projections, not certified results. Trump now faces a hostile House from January, and he is trying to ease fuel prices abroad before then.

Democrats win Congress; Trump says he accepts the result

NBC projects Democrats will hold at least 259 House seats, their largest majority in almost two decades. Several governorships also flipped. Trump told the New York Times he is "absolutely willing" to accept the outcome and said the vote was not a referendum on him. Vice President JD Vance blamed the losses on the Iran war. Trump replied: "The Iran thing we had to do, and we continue to do it."

Why it matters: From January, Democrats can subpoena, hold hearings and block legislation. Tariffs and military deployments largely stay under presidential control. Schumer and Jeffries named the cost of living and oversight as their first priorities.

For Europe & Italy: A Congress less friendly to tariffs raises the odds of softer trade policy. It also adds uncertainty over US support for Ukraine and for NATO.

Watch: Final Senate counts and the first House committee chairs.

Sources: NBC Washington, CBC

Trump's Russian diesel deal falters as US stocks hit a 20-year low

The FT reports that two tankers carrying Russian diesel changed course. US fuel inventories are at a 20-year low. Trump announced the arrangement on 9 October. Treasury issued a general licence allowing Russian diesel transactions until 7 April 2027. The first cargo to New York, 40,000 tonnes, was due on 7 November. Twelve senators from both parties urged him to rescind the deal.

Why it matters: The plan tried to ease pump prices before the vote. It also loosened pressure on Moscow while Washington prepares Ukraine talks.

Market impact: Diesel is tight in both the US and Europe, and the FT notes oil fell sharply today.

Sources: FT, Boston Globe

Canada trade talks resume under political pressure

The BBC reports that US-Canada trade talks are back on. The Democratic wave raises pressure on the White House to deal, and Canadians hope for tariff relief.

Watch: Any change in tariffs on Canadian goods. Congress's China committee is also pressing the Air Force over cuts to a China think tank, a sign that China policy remains bipartisan.

Sources: BBC, Breaking Defense

California rejects a billionaire tax

Proposition 40 is set to be defeated, the FT says. Wealth taxes remain alive nationally.

Sources: FT

China

Beijing is coping with a bear market and tight commodity supplies. It is also using regulatory power against foreign deals while watching a more hostile US Congress.

China blocks SoftBank's $5.4bn takeover of ABB's robotics unit

The FT and Bloomberg report that China blocked SoftBank's purchase of ABB's robotics division. The unit focuses on the Chinese market and has a large factory in Pudong, Shanghai. Neither report gives details on the grounds.

Why it matters: The move hits SoftBank's plan to expand into "physical AI". It also shows how Beijing can use merger approval as leverage over foreign companies.

For Europe & Italy: ABB is Swiss-Swedish, so this is a European firm's disposal blocked by China. Italian industrial robot users and makers should watch for effects on suppliers.

Sources: ET, Bloomberg

Stocks in a bear market as Beijing steps up support

The Japan Times reports Chinese equities are in a bear market. More than $3tn of value has been wiped out and the major indexes have erased a year of gains. The FT says ETFs commonly used by state funds to support the market had their second-highest net inflows on

record. Hong Kong's Hang Seng opened about 3% higher today after the Democratic midterm win, according to ANSA.

Why it matters: The state is defending an AI-led rally that has faded. Bloomberg notes the midterms may bring more congressional pressure on China, even as markets cheered.

Sources: Japan Times, FT, ANSA

Hong Kong jails Joshua Wong again

Handelsblatt reports that a Hong Kong court sentenced the 30-year-old democracy activist today under the national security law. He is accused of colluding with foreign forces. Handelsblatt's headline says the sentence is ten further years.

Watch: Reaction from the EU and US, which have long criticised the law.

Sources: Handelsblatt

Commodities and outreach

- Bloomberg reports Chinese copper buyers are scrambling for physical metal as spot premiums soar.
- China is weighing new diesel export quotas against its own tight market.

- It plans its first yuan sovereign bond sale in Canada.
- Belgium's Solvay struck a rare earths deal with a Brazilian mine to reduce dependence on China.

Sources: Bloomberg, Bloomberg, FT

Russia & Ukraine

Three-way peace talks are scheduled for 10-11 November in Abu Dhabi. Fighting and hybrid pressure on Europe continue.

Abu Dhabi talks confirmed; Melania Trump honoured over Oleshky

The Kremlin has confirmed it will attend the 10-11 November talks with the US and Ukraine. Former culture minister Vladimir Medinsky will lead its delegation. Moscow says security guarantees can only be "mutual". These would be the first three-way talks since February. Zelensky spoke on 4 November with US envoys Steve Witkoff and Jared Kushner, and he hopes the talks lead to a meeting with Putin.

The White House said on 23 October that Melania Trump brokered a local humanitarian ceasefire around the occupied city of Oleshky, in Kherson region. Zelensky has now given her

Ukraine's highest award. The BBC says Russian and Ukrainian delegations meet her at the White House today.

Why it matters: The humanitarian track is small, but it is the first visible US-brokered contact. The main questions remain territory and security guarantees.

For Europe & Italy: Europe is not at the table but would carry much of the cost of guarantees and reconstruction.

Sources: Pravda.com.ua, Anadolu, BBC

Kyiv alleges a "double-tap" strike on a village

Ukraine says at least 40 people died in Monday's attack on a village, with about 30 more possibly under rubble. It released bodycam video it says shows a second strike on rescuers. Russia's response was not in the feed. Claims are unverified.

Sources: BBC

Hybrid pressure on Europe

- Poland detained six people suspected of working for Russian intelligence to supply military-use components to Russia.

- Russia denies involvement in the freezer hacks across Europe. Authorities have named no culprit.
- The FT reports Moscow deepened military support for Iran with a missile launcher deal.
- A specialist says a Russian satellite manoeuvred dangerously close to a commercial satellite in mid-October.

Sources: Bloomberg, Politico Europe, FT, Japan Times

III World Regions

Middle East & Gulf

Iran reads the US midterms as a rejection of the war and still warns it will hit back harder if attacked. The US-Israeli war on Iran began in February. A June memorandum of understanding (a preliminary deal) has not led to a settlement.

Tehran sees an opening but warns of wider retaliation

Iran's Supreme Leader, Mojtaba Khamenei, said anyone expecting Trump's midterm defeat to change US policy is "deeply mistaken". He said Iran's response to renewed US-Israeli attacks would be on "much broader" dimensions than before. Parliament Speaker Mohammad Bagher Ghalibaf, who leads the Iranian negotiators, wrote that Americans "said no to war". He also mocked Vice President JD Vance's 614-word post on X blaming the Iran war for the Republican defeat. Iran also said four tankers caught fire after hitting mines near Hormuz. That is Iran's claim and I could not verify it independently.

Why it matters: Washington's domestic constraint on the war is now bigger, but Tehran is showing no sign of concessions. Indirect talks via Qatar remain stalled.

Market impact: Brent fell almost 9% on Wednesday to a two-month low, then rebounded slightly. Investors are betting that a Democratic Congress could hasten an end to the war (Bloomberg). India's stocks and bonds rallied on cheaper oil.

For Europe & Italy: The ECB's Ante Zigman sees a "rather big chance" of a December rate rise, the third since the war began. The Bank of England raised rates on Thursday, and Governor Andrew Bailey said it is unlikely to be the last unless the conflict is resolved. Handelsblatt reports German household gas prices are up more than 50% since the war began.

Watch: Any US strike decision, Qatar-mediated contacts, and mine incidents in Hormuz.

Sources: CBS News, Politico Europe, Bloomberg, Politico Europe, Bloomberg

Russia deepens military support for Iran

The FT reports that Moscow has increased military aid to Tehran despite the strain of its own war in Ukraine, including a missile launcher

deal. In February the FT reported a separate secret contract of about €500 million for 500 Verba shoulder-fired launchers and 2,500 missiles. Reuters could not verify it at the time. I could not confirm whether today's report adds new detail.

Sources: FT

I found no verified new developments on Gaza, Lebanon, Syria, Iraq or Yemen in the last 24 hours.

Indo-Pacific

China blocks SoftBank's $5.4 billion ABB robotics deal

ABB confirmed that China's foreign-investment security review office prohibited the China part of SoftBank's purchase of its robotics unit. The FT earlier cited concerns about possible data transfers to Japan. ABB and SoftBank say they are in "close dialogue".

Why it matters: Beijing is using security reviews as leverage over foreign deals in robotics and "physical AI". The deal also hurts SoftBank's AI strategy.

For Europe & Italy: ABB is Swiss, and European industrial groups with China exposure face the same risk.

Sources: Japan Times, Bloomberg

Micron pauses its $4.5 billion Taiwan plant

Bloomberg, citing people familiar with the matter, reports Micron has suspended most work on the Taoyuan memory plant over a labor dispute. Micron says its existing Taiwan operations continue normally. **Why it matters:** The plant would make memory for AI. **Market impact:** Micron shares slipped in pre-market trading.

Sources: Bloomberg

Other moves

- **North Korea:** Il Sole 24 Ore reports a fourth missile test in a month on Wednesday.
- **India:** New Delhi awarded Garden Reach (five ships) and Goa Shipyard (three) contracts worth $5.7 billion for corvettes (small warships).
- **China markets:** Chinese equities are in a bear market, with more than $3 trillion of value erased (Japan Times).
- **Japan:** Sony raised its operating income outlook by 15% to ¥1.87 trillion.

- **Australia:** The RBA's Andrew Hauser denied he tried to "box in" the board on rate rises.

Sources: Il Sole 24 Ore, Breaking Defense, Japan Times, Japan Times

BRICS+ & Global South

I saw no bloc-level BRICS+ or New Development Bank news in the window. The news came from individual members.

South Africa's ANC loses ground in local elections

Early results suggest a "huge drop" in ANC support compared with 2021, the FT reports. In 2021 the party won about 46%, its worst result since 1994. Final results are not yet in.

Market impact: South African stocks had their biggest daily gain in almost seven months, led by gold miners as gold surged (Bloomberg).

Sources: FT, Bloomberg

Energy importers gain from cheaper oil

India's stocks and bonds rallied as crude fell, easing inflation and external-finance worries. Oil-importing emerging markets benefit most if the Iran war de-escalates.

Sources: Bloomberg

Minerals diversification

Solvay agreed a rare earths supply deal from a Brazilian mine. It will feed magnet production in Europe and the US and reduce dependence on China (FT).

Sources: FT

Africa

World Bank says graft cost Kenya $900 million on its Chinese-built railway

The World Bank alleges Kenya spent about $900 million more than it should have on the railway, a flagship Belt and Road project, because of corruption, fraud and graft. **Why it matters:** It adds to the debate over Chinese-financed infrastructure and Kenya's debt.

Sources: Bloomberg

Ethiopia becomes Africa's fifth-largest economy

After a national accounts revision that counts sectors such as the digital economy, Ethiopia now ranks fifth in Africa. Safaricom says its Ethiopian unit is on track to break even by the end of the fiscal year. It is counting on regulator-led pricing reforms.

Sources: Bloomberg, Bloomberg

South Africa's ANC slumps

See BRICS+ for the early local election results. A weaker ANC raises questions about its national coalition with the Democratic Alliance.

Conflicts

I found no verified new developments on Sudan, the DRC or the Sahel in the last 24 hours. Background: in October 2025 the paramilitary Rapid Support Forces took El Fasher, the army's last big Darfur stronghold. The Rwanda-backed M23 rebels have continued to push in eastern Congo.

Latin America

Lula's win reshapes the region

Lula won a fourth term in the runoff with about 51.8% to 48.2% over Flávio Bolsonaro, according to one source I could not cross-check. Reports say Bolsonaro refuses to concede and wants the result annulled. Analyst James Bosworth says the "orange wave", the shift of the region toward Trump's agenda, may be cresting. María Corina Machado's return to Venezuela is part of that shift.

Why it matters: Lula's win, plus Trump's midterm setback, weakens Washington's regional alignment.

Sources: Bloomberg, Rio Times

Economy

- **Argentina:** Milei is retreating on bank-account freezes used to collect taxes, as small-business owners reconsider their vote next year (Bloomberg).
- **Mexico:** Banxico is expected to keep rates unchanged on Thursday after faster growth.
- **Chile:** Markets are betting on the first rate hike since 2022 after hawkish central bank minutes.
- **Caribbean:** UK prime minister Andy Burnham offered to discuss a formal apology for slavery, plus £40 million for infrastructure (FT).

Watch: Bolsonaro's challenge to the result, and Banxico's decision.

Sources: Bloomberg, Bloomberg, Bloomberg, FT

IV Security, Technology & Space

Defence & Security

Rheinmetall's shares fall 17% after a Boxer delay and a lower sales forecast

Germany's largest arms maker cut its sales forecast after a delay to an order for Boxer armoured vehicles, and its shares fell 17%, the FT reports. Handelsblatt says business is growing strongly but investor expectations were set too high. Berlin is the biggest buyer of Europe's rearmament, so the setback shows how slow government contracting can hold back even a booming industry.

Why it matters: Orders are not the same as revenue. Revenue only arrives once contracts are signed, and German procurement has repeatedly slipped.

Market impact: European defence stocks had already fallen on 4 November. Rheinmetall's drop adds pressure to the sector.

Sources: FT, Handelsblatt

Italy adds €4.8bn for Defence in the budget

Il Sole 24 Ore reports that the Defence ministry gets €4.8bn more. Rearmament and security get €10.9bn extra over three years, with 85% falling in 2027-28 because of the EU's escape clause. That is the clause Rome wants to use for defence spending, and finance ministers vote on it around 9 November. The plans include joint-service programmes and the Global Combat Air Programme (GCAP), the fighter being built with the UK and Japan.

Watch: The 9 November Council decision.

Sources: Il Sole 24 Ore

Ukraine: Oleshky truce and a White House meeting

Zelensky gave Melania Trump Ukraine's highest award after the local ceasefire at Oleshky, a Russian-held town. The White House announced the truce on 23 October. Russian and Ukrainian delegations meet the US first lady on Thursday, according to the BBC. Separately, the EU disbursed €4.36bn to Kyiv for financial support and defence, and von der Leyen promised "unconditional" support, according to ANSA.

Watch: Whether the truce spreads beyond one town, and the Abu Dhabi talks reportedly planned for around 10-11 November. Moscow has not confirmed it will attend.

Sources: BBC, ANSA, Kyiv Independent

Other moves

- **Poland:** Authorities detained six people suspected of working for Russian intelligence to ship military-use components to Russia (Bloomberg).
- **Russia and Iran:** The FT reports Moscow deepened military support for Tehran with a missile-launcher deal.
- **Undersea cables:** War on the Rocks reports that the UK, Norway and the US disrupted a spring exercise by Russian submersibles off Norway. It simulated cutting the two cables linking Svalbard to the mainland.
- **Shield AI:** The company's cofounder says a "snowball" of European announcements for its X-BAT fighter drone is coming.

Sources: Bloomberg, FT, War on the Rocks, Breaking Defense

Cyber & Information Warfare

Fridge hacks: a claim video, a Russian denial, no culprit

Russia denies involvement in the tampering with supermarket refrigeration across Europe. Politico says experts see Moscow as a main suspect, but no national authority has named one. The pro-Russian groups NoName and Z-Peintest claimed the attacks in a video that arrived more than three weeks after the first incidents. Il Sole 24 Ore says the authorities are weighing whether someone else staged it, whether it is a decoy, or whether a state actor was behind the French cases.

Why it matters: Physical sabotage through connected devices is a step beyond NoName's usual denial-of-service attacks, which only knock sites offline.

Sources: Politico Europe, Il Sole 24 Ore

Crédit Mutuel Arkéa loses an estimated $133m

The French bank says attackers compromised an unnamed supplier and then made transfers from the bank's own account. Blockchain investigator ZachXBT put the loss at $133m or

more. The bank would not confirm the figure but said it could "validate the order of magnitude". Some funds have been frozen.

Sources: The Record

Chainalysis says all users were hit

The blockchain analytics firm, which serves law enforcement, disclosed a breach on 30 October. It now says names, usernames, password hashes and live tokens for all users were exposed. It blames "offensive agentic techniques" but has not identified the attacker.

Sources: The Record

Italy warns on bank cyber risk

Banca d'Italia's supervision chief and the head of the national cybersecurity agency (ACN) say attacks on banks threaten the stability of the country's financial system.

Sources: ANSA

Fact Check

The claim: Russia is "proven" to be behind the European fridge hacks

Verdict: Unproven

What is actually true: No European authority has named a culprit. Russia denies involvement. A pro-Russian group's claim video arrived weeks after the first attacks, and Italian reporting says investigators are weighing a decoy or a different actor. Experts call Moscow a main suspect, which is an assessment, not proof.

Why it matters: Attributing attacks too early can inflame politics, and so can ruling a state out too early. This is a low-evidence, high-stakes area.

Sources: Politico Europe, Il Sole 24 Ore

The claim: an AI agent hacked Chainalysis

Verdict: Missing context

What is actually true: The company cited "offensive agentic techniques". It has not explained the term, said that an autonomous AI caused the breach, or identified the attacker.

Why it matters: "AI hacker" headlines spread fast. The phrase may reflect real industry concern, but this case offers no evidence yet.

Sources: The Record

The claim: a viral post says Trump declared "all Republicans won" the midterms

Verdict: False

What is actually true: A fact-check traced the screenshot to a Facebook parody page. Earlier editions reported that CBS and CNN projected Democratic wins in Congress. Final counts are not verified.

Why it matters: Satire screenshots, stripped of their labels, spread as election misinformation.

Sources: IBTimes

Technology & AI

China blocks SoftBank's $5.4bn purchase of ABB's robot unit

China blocked the sale of ABB's robotics division to SoftBank. This hits SoftBank's push into "physical AI", meaning AI in robots and machines. The unit focuses on the Chinese market and has a large factory in Pudong, so Beijing holds an effective veto. It is another sign that deals touching Chinese assets can be blocked in retaliation for US pressure.

Market impact: SoftBank and ABB are directly affected. The reaction in their share prices is not confirmed.

Sources: Bloomberg, FT

Micron pauses its $4.5bn Taiwan plant

Micron has suspended work on a memory-chip plant in Taiwan after a long labour dispute, according to people familiar with the matter. The plant would make memory for AI. On the demand side, Nvidia server partner Hon Hai reported October sales up 46%.

Market impact: Memory supply stays tight, which supports pricing for memory producers. This is analyst logic, not a reported move.

Sources: Bloomberg, Bloomberg

Robots and drones raise money

Nvidia-backed Agility Robotics begins trading on Nasdaq today as "AGLT", after merging with a SPAC (a listed shell company). It is the first dedicated US humanoid maker to list, with about $465m in cash before expenses. Drone-delivery firm Zipline raised $1.5bn at a $21.5bn valuation and is adding 300 Walmart sites.

Sources: Bloomberg, Bloomberg

Europe debates dependence on US tech

An MEP said Starlink service cutoffs led to deaths and urged Europe to "stop using US tech". He also pushed back on calls for Europe to give up building its own frontier AI models. UN experts warned of a "revolving door" between Big Tech and Ireland's digital regulators. Ireland hosts many of the companies' EU headquarters.

For Europe & Italy: These debates feed into enforcement of the EU Digital Markets Act and AI Act.

Sources: Politico Europe, Politico Europe

Other moves

- **Law firm A&O Shearman:** It is investing $1.1bn in AI.
- **Sequoia:** The venture firm is closing its London office.
- **AI agents:** Bloomberg explains Meta's "Muse" and OpenAI's "Dots" assistants, and the safety worries around them.

Sources: FT, FT, Bloomberg

Space

Russian satellite rehearsed an attack on a Western satellite, specialist says

In mid-October the Russian military satellite Cosmos 2612 manoeuvred close to ICEYE-X36, a commercial radar-imaging satellite used to support Ukraine. LeoLabs, a space-tracking company, tracked it closing from about 350 km to under 5 km between 15 and 16 October. Reports differ on the closest point, from about 100 to 500 metres. The Russian satellite had started moving away by 19 October. A specialist quoted by the Japan Times says it may have rehearsed an attack. Officials have not explained the purpose.

Why it matters: Commercial satellites now carry battlefield imagery, so they are potential targets.

Sources: Japan Times, SatelliteToday

China's "swarm" strategy

The FT reports that Beijing has promoted LandSpace as a national champion among many commercial rocket firms.

Sources: FT

NASA picks three firms for Ka-band relay

On Wednesday NASA chose three companies to develop Ka-band space-relay concepts. They are meant to keep existing missions connected without changes to the spacecraft.

Sources: NASA

Svalbard's ground station

War on the Rocks says the Svalbard satellite station, which serves Europe, the US and Japan, depends on two undersea cables.

Sources: War on the Rocks

V Economy, Markets & Energy

Global Economy & Central Banks

Central banks are tightening again because the Iran war has pushed energy prices up. The Bank of England raised rates today, the Fed and ECB are on hold but leaning toward hikes, and the euro area's October flash inflation (4.0%) is the highest in three years.

Bank of England raises Bank Rate to 4%, signals more

The Bank of England raised Bank Rate by a quarter point to 4%. Bloomberg says the vote was unanimous. The FT calls it the first rise since 2023. The Bank said inflation is on track to reach about 4.9% next year and signalled another hike is possible. Traders added to bets on a further rise next month.

Why it matters: The BoE is the first major European central bank to hike in this energy shock. The ECB, by contrast, has so far held back.

For Europe & Italy: The pound moved little on EUR/GBP, which was at about 0.83 in yesterday's data. It shows the UK is also facing energy-led inflation, which is Italy's problem too.

Watch: The BoE's December meeting, and whether the 4.9% forecast holds if oil keeps falling.

Sources: Bloomberg, FT

Fed and ECB hold, but December is live

On 28 October the Fed, now chaired by Kevin Warsh, held its rate at 3.75-4.00%. The vote was 10-2, with Lisa Cook and Beth Hammack wanting a hike, according to market-analysis reports. The same reports say futures priced a high chance of a December hike (Fed meeting 8-9 December). On 29 October the ECB held its deposit rate at 2.50%. Lagarde said a hike was discussed and rejected, and risks to inflation lean up. She leaves on 7 February 2027.

Why it matters: Central banks are weighing a one-off energy price spike against the risk that it spreads into wages. Core inflation in the euro area is 2.5%, far below the 4.0% headline.

For Europe & Italy: ANSA's headline puts Italian inflation at 5.6% in October, with energy at +20.8%. I could not confirm which measure

that is. Italian household spending is weak: ISTAT says September retail sales rose 0.1% in value, while food sales fell 0.3%.

Watch: US and euro-area data before the December meetings.

Sources: ECB, ANSA, ANSA/ISTAT

Other data points

- Spain will raise its minimum wage 5.3% in 2027, affecting 2.5 million workers (Bloomberg).
- The OECD says pension assets reached $78 trillion in 2025, up 11.3% (ANSA).
- Italian court-supervised liquidations rose 13.6% in Q3 (Il Sole 24 Ore).

Markets & Finance

Facts: European stocks are at or near record highs. The Euro Stoxx 50 closed at 6,298.60 (+0.52%) and the FTSE MIB at 51,164.52 (+0.26%). On 4 November the FTSE MIB gained 2.18%, led by banks. Technoprobe fell 7%. This morning London opened up 0.97%, Paris 0.87% and Frankfurt 0.05%. In Milan, Tenaris and Amplifon rose and Leonardo fell. BPER reported profit up 16.4% to €2bn and an interim dividend of €0.33.

Bonds: The BTP-Bund spread narrowed to about 103-105 basis points, down from 112 yesterday. The 10-year BTP yields about 4.30%, against about 3.2% for the Bund. The US 10-year yield is 4.89%.

US and Asia: The S&P 500 rose 1.58% to 7,688.62, but the Nasdaq 100 is down 4.62% on the week. Asian tech sold off hard in the latest session: KOSPI -5.28%, Taiex -3.20%, Nikkei -1.79%. Hang Seng rose 3.67%. The FT reports Chinese state-backed ETFs saw their second-highest net inflows on record as Beijing defends the market.

Currencies and commodities: EUR/USD is about 1.12, USD/JPY 158.46, gold $4,127.80 (+1.35%), Bitcoin $79,613 (-0.99%). Brent is $96.85, rebounding 2.36% after a near-9% fall on 4 November.

Market view (expectations, not facts): Bloomberg says investors bet that a Democratic Congress could speed an end to the war. That bet drove the oil drop and has helped lower energy costs for European stocks and bonds. The next test is whether those bets survive Iran headlines.

Bank cyber risk: Crédit Mutuel Arkéa confirmed hackers made transfers worth an estimated $133m through a compromised supplier (The Record).

Sources: ANSA, ANSA, Bloomberg, FT, The Record

Trade, Tariffs & Sanctions

China blocks SoftBank's $5.4bn purchase of ABB's robotics unit

Chinese regulators blocked SoftBank's planned $5.4bn takeover of ABB's robot business, Bloomberg and the FT report. The unit focuses on the Chinese market and has a large factory in Pudong, Shanghai.

Why it matters: Beijing is showing it can veto foreign deals in strategic technology, just as Washington restricts Chinese access to AI chips. SoftBank had wanted to expand into "physical AI", meaning AI embedded in robots.

For Europe & Italy: ABB is Swiss-Swedish. European firms selling China-heavy assets face approval risk in Beijing.

Watch: Whether ABB seeks another buyer or a listing.

Sources: Bloomberg, FT

Midterms shift the tariff debate; Canada talks resume

The BBC says Canada sees the Democratic win as raising pressure on the White House to settle in the Canada-US trade talks, which have restarted. Congress cannot easily cancel tariffs Trump imposes on his own authority, so any change depends on him. Bloomberg notes craft brewers on both sides are squeezed by tariffs and alcohol bans.

Watch: Any tariff relief offer for Canada.

Sources: BBC, Bloomberg

Trump's Russian diesel gambit falters

The FT says two tankers changed course, a setback to a White House plan to buy Russian diesel to cut fuel prices. US fuel stocks are at a 20-year low. This tests the sanctions regime on Moscow.

Source: FT

Other

- Solvay struck a rare-earths supply deal with a Brazilian mine to cut dependence on China (FT).
- China plans its first yuan sovereign bond sale in Canada (Bloomberg).

- The World Bank says corruption cost Kenya $900m on its Chinese-built railway (Bloomberg).

Energy & Critical Minerals

Oil plunges on midterm bets, then steadies

On 4 November WTI fell 8.26% to $88.15 and Brent 8.59% to $94.70 (ANSA). Analysts linked the move to hopes a Democratic Congress could help end the US war with Iran. Brent then rebounded from a two-month low (Bloomberg) and stood at $96.85 in our data, down about 15.7% on the week. These are market bets, not a change on the ground. The Strait of Hormuz remains closed, according to our earlier edition.

Why it matters: Oil is still near $95 because supply is physically blocked. Politics can move prices quickly, but only reopening Hormuz would ease the underlying shortage.

Market impact: Falling crude helps airlines and European industry and pressures energy producers. Lower energy costs also reduce the case for ECB and BoE hikes.

Watch: US-Iran indirect talks via Qatar, and the planned Abu Dhabi meeting around 10-11 November.

Sources: ANSA, Bloomberg

European gas eases but is still very expensive

Dutch TTF fell 6.7% to €85.32/MWh on 4 November and opened today at €84.66 (-3.9%), per ANSA. Our closing data shows €88.74, down about 10% on the week. EU storage was 74.6% full in our earlier edition, the lowest entering winter since 2013.

For Europe & Italy: Italian energy inflation is a major driver of the price rise. Gas at about €85-89 is far above pre-war levels.

Sources: ANSA, ANSA

Diesel, rare earths and EU cars

- Bloomberg says China is weighing new diesel export quotas, but only if its own market is not too tight.
- Solvay's rare-earths deal with a Brazilian mine supports European magnet production. Solvay signed a non-binding letter of intent with Viridis in June for Brazilian feedstock, but I could not confirm that this is the same deal.
- The European Parliament backed a first step to ease the 2035 car emissions target from

100% to 87.5% (Il Sole 24 Ore). This is not final law.

Sources: Bloomberg, FT, Il Sole 24 Ore

VI Outlook

Market Implications

Asset or sector	Likely pressure	Driver	Already priced in?
Italian banks	Mixed, supportive	Wider margins; BPER profit +16.4%	Partly: FTSE MIB +2.18% on 4 Nov
Defence (Rheinmetall, Leonardo)	Down	Rheinmetall -17% on Boxer delay	Partly
Energy/oil majors	Down	Brent -15% on the week	Largely, but headline-driven
Autos	Mixed	Softer 2035 CO2 rule; China exposure	Not yet
Luxury	Mixed	China bear market; lower oil helps	Unclear
Utilities	Mixed	Gas near €85-89/MWh; rate path	Partly
BTP-Bund spread	Narrower, with risk	Tightened from 112 to about 104	Mostly
Rates/euro yields	Up	ECB and BoE hike signals	Partly

Asset or sector	Likely pressure	Driver	Already priced in?
EUR/USD	Mixed	ECB vs Fed paths; about 1.12	Largely
Gold	Up	$4,127.80, +1.35%	Partly
Tech/AI	Down	Nasdaq 100 -4.6% on the week; Asian chip selloff	Partly
Emerging markets	Up	Cheaper oil lifts importers such as India	Partly

The main theme is a political bet on oil. Markets priced in the idea that a Democratic Congress speeds an end to the Iran war. Crude fell sharply, European equities hit highs and the spread narrowed. That is expectation, not a change on the ground.

What would change the picture: a failed Abu Dhabi round, a US strike on Iran or Hormuz mine incidents would send oil back toward $100. A refusal by finance ministers on the escape clause would reopen the spread. Hotter data (US CPI on 10 November) would strengthen the case for December hikes and hit long bonds and tech.

Market Opportunities & Risks

Educational overview only. It is not personal advice, and nothing here is a recommendation to buy or sell.

Italian banks and BTPs

Driver: Higher rates lift lending margins. BPER's profit rose 16.4% to €2bn, and the BTP-Bund spread has tightened to about 103-105 points. **Exposure:** The FTSE MIB bank stocks, bank ETFs and Italian government bonds. A BTP yields about 4.3%, but euro-area inflation is 4.0%, leaving a thin real return. **Risks:** A spread widening if Rome's budget request on the EU escape clause is rejected, and credit losses as business insolvencies rise (+13.6% in Q3). **Horizon and pricing:** Medium term. Banks are already up sharply this week, so some good news is priced in.

Oil and energy shares

Driver: Oil swings on Iran-war headlines, down about 15% in a week. **Exposure:** Oil majors, refiners, commodity ETFs, airlines (the reverse exposure). **Risks:** A peace deal could push crude lower, while a collapse of talks could send it back above $100. **Horizon:** Short term and very volatile. It is not an easy bet either way.

Bonds when central banks hike

Driver: The BoE has hiked, the Fed and ECB may follow in December. **Exposure:** Short-dated bonds are less sensitive to rates than long-dated ones. The US 10-year yield is 4.89%. **Risks:** Surprise inflation pushes yields up and prices down. Falling oil could reverse this. **Horizon:** Months. Markets are already pricing hikes.

Asian tech and AI chips

Driver: Taiex fell 3.2% and KOSPI 5.3%, with AI scrutiny fears. Beijing is propping up its own market. **Exposure:** Semiconductor ETFs and country funds. **Risks:** US rules, China's deal vetoes (SoftBank-ABB), and sharp reversals. Concentration is high. **Horizon:** Long-term theme, short-term turbulence.

Investing basics: duration

Duration measures how much a bond's price falls when interest rates rise. A bond with duration of 7 years loses roughly 7% if yields rise one percentage point. That is why long bonds suffer when central banks hike, and short bonds are steadier. Duration is the price of earning a higher yield, so match it to how long you can hold the bond.

Scenarios

Iran war and oil

- **Base case:** Talks stay stalled and no major strike occurs. Brent holds in a volatile $90-100 range.
- **Upside:** Qatar-mediated contacts revive and shipping through Hormuz begins to reopen. Oil drops further and the case for ECB hikes weakens. This is possible but unlikely near term.
- **Downside:** A US-Israeli strike triggers the "much broader" Iranian response. Brent returns above $100 and December hikes become likelier.
- **Signposts:** Mine incidents in Hormuz, Qatari mediation, and any US strike decision.

Ukraine talks in Abu Dhabi

- **Base case:** The 10-11 November round happens, produces humanitarian steps such as prisoner swaps or local truces, and no deal on territory.
- **Upside:** A framework on security guarantees and a Zelensky-Putin meeting plan. Unlikely.
- **Downside:** Russia downgrades its delegation or the talks collapse, and strikes

such as the alleged "double-tap" on a village continue. Possible.

- **Signposts:** Delegation make-up, whether the Oleshky truce spreads, and US pressure on Kyiv.

Italy's budget and the escape clause

- **Base case:** Ministers approve the request, perhaps with conditions. The budget proceeds despite League friction. This is likely.
- **Upside:** Approval with broad scope, and the tenth PNRR instalment (€28.4bn) is paid. The spread narrows further.
- **Downside:** Ministers narrow or delay it. Defence funding of €10.9bn needs revision and the spread widens. Unlikely but damaging.
- **Signposts:** Eurogroup tone, the League's Friday vote on Romeo, and any Giorgetti-Salvini clash.

What to Watch

Date	Event	Why it matters
Thu 5 Nov	Banxico decision	Expected to hold rates after growth surged

Date	Event	Why it matters
Fri 6 Nov	League federal council, Milan	Decides the fate of Senate leader Romeo and Salvini's hold on the party
Fri 6 Nov	US October jobs report	Shapes Fed December expectations
Sat 7 Nov	First Russian diesel cargo due in New York	Tests Trump's licence for Russian diesel
Mon 9 Nov (about)	Finance ministers on Italy's escape clause	Determines the budget's defence and energy room; Council date not independently confirmed
Mon 9 Nov	COP31 opens, Antalya (to 20 Nov)	Climate talks; leaders' summit on 11-12 Nov
Tue 10 Nov	US October CPI	Inflation read before Fed and ECB decisions
10-11 Nov	US-Russia-Ukraine talks, Abu Dhabi	First three-way round since February

Explained

The EU "escape clause"

It is a provision in the EU fiscal rules that lets a country temporarily exceed its spending limits for specific purposes. Italy asked to use it for defence and energy.

The steps are: 1. The country asks. 2. The Commission assesses it. It gave Italy a go-ahead on 8 October. 3. Finance ministers in the Council approve it.

The Commission's go-ahead came with a one-month window for the Council decision. Think of it as a household allowed to exceed its monthly budget because of a roof repair, as long as the bill is itemised. Today it matters because 85% of Italy's extra €10.9bn for defence and security falls in 2027-28 and depends on it. Key number: €10.9bn over three years.

Duration and central-bank hikes

Duration estimates how much a bond's price falls when yields rise. A duration of 7 years means roughly a 7% loss if yields rise one percentage point. It works because existing bonds with low coupons become less attractive when new ones pay more, like a fixed-rate loan after rates rise. With the Bank of England hiking and the ECB and Fed possibly following in December, long BTPs and Treasuries are the most exposed. Key number: 4.30% on the 10-year BTP.

Merger control as a geopolitical lever

Many countries can block a foreign takeover on security grounds. China's foreign-investment security review office reviews deals touching its market, and it can prohibit the China part of a global transaction. A buyer such as SoftBank cannot own a unit without access to the market that makes up most of its value. It is like a landlord with a veto on a shop sale. In the SoftBank-ABB case, the FT cited concerns about data transfers to Japan. Key number: $5.4bn.

Satellite "rendezvous and proximity operations"

A satellite can manoeuvre close to another to inspect it, or to prepare an attack. In October, Russia's Cosmos 2612 closed from about 350 km to under 5 km of ICEYE-X36, a commercial radar satellite used to support Ukraine. It is like a car tailgating at close range on a motorway: harmless or hostile, it shows capability. Key number: under 5 km.

Glossary

- **Escape clause:** an EU fiscal-rule exemption allowing temporary extra spending.

- **BTP-Bund spread:** the gap between Italian and German 10-year yields, a gauge of Italian risk. It is about 103-105 basis points.
- **Basis point:** one hundredth of a percentage point.
- **HICP:** the EU-harmonised inflation measure, comparable across countries.
- **Istat:** Italy's national statistics office.
- **PNRR:** Italy's share of the EU recovery fund.
- **Hormuz:** the strait carrying a large share of the world's oil, currently closed.
- **Brent/WTI:** the main European and US oil price benchmarks.
- **TTF:** the Dutch benchmark price for European gas.
- **GCAP:** the Italy-UK-Japan fighter programme.
- **SPAC:** a listed shell company used to take another firm public.
- **Giancarlo Giorgetti:** Italy's Economy Minister, from the League.

Sources: Council and Commission on the Italy escape clause (Eunews), COP31 dates (UNFCCC overview), US jobs report calendar, US CPI calendar, Istat October inflation

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